BACKGROUND TO THE ETHNIC STRUGGLE IN THE SOUTHERN SHAN STATE

The main inhabitants in the southern Shan State are Shan and Pa-O (Christensen and Sann Kyaw 2006; Risser et al. 2003). Their relationship has not been cordial, sometimes even hostile. Shan traditionally operated a system of hereditary leadership under rulers known in Shan as *saopha*. Pa-O were mainly farmers who lived under the shadow of their powerful neighbours. They had to pay the Shan lords taxes, hence the resentment against them (Yawnghwe 2013, pp. 93–94). Pa-O are commonly regarded as a sub-group of Karen (Christensen and Sann Kyaw 2006, p. 27; Hackett 1953, p. 27). Before independence, General Aung San and the leaders of Shan, Kachin, and Chin ethnic groups signed the Panglong Agreement in February 1947. The Karen sent U Hla Pe, a Pa-O leader in Thaton, to represent them as an observer at the conference (Christensen and Sann Kyaw 2006, pp. 17–18). To institutionalize their own freedom movement, U Hla Pe, U Aung Sa, and U Kyaw Sein formed the Pa-O National Organization (PNO) in 1947 (Christensen and Sann Kyaw 2006, p. 17). Initially, the PNO was only fighting against the Shan elites. Indeed, Samara Yawnghwe (2013, p. 175), whose grandfather was a Shan *saopha* and acted as the first president of the Union of Burma, has noted that the Burmese government did not see Pa-O as a threat to their authority in the early days. Pa-O began their struggle against the central government after the parliamentary government was seized by the military in the 1962 coup.

Shortly after crushing the democracy movement in 1988, the newly formed State Law and Order Restoration Council (SLORC) introduced the Program for the Progress of the Border Areas and National Races Development, or Border Areas Development (BAD) for short, to pacify the country's frontier areas (Lambrecht 2004). However, following the collapse of the Communist Party of Burma (CPB) in 1989, many CPB members escaped to the frontier areas either by joining local ethnic armed groups or by forming their own groups (Lintner 1990; Lintner and Black 2009). As a result, the BAD initiative was in tatters (ICG 2004). The military regime was proactive on ceasefire diplomacy with local armed groups, desperately needing more positive news to support its legitimacy to govern and to prevent further escalation of ethnic uprisings due to reinforcement from ex-CPB members.

Between 1989 and 1995, a total of sixteen ceasefire agreements were